

local businesses, while businesses get the chance to serve new customers or even re-activate lapsed customers. What makes this model different from the megamall is that the discounts offered here (anywhere from 40 – 90%), are for a limited period and opens up e-commerce for a new category of businesses, namely those within the service sector.

The dealmaker model has revolutionized e-commerce as for the first time customers can buy services that have a high perceived value such as discounted restaurant experiences, spa packages or tickets to a concert. For the businesses supplying these deals, they are able to get access to a new customer base and woo the customer into becoming a repeat by giving them a chance to experience the service first-hand. Perhaps the biggest such deal site in India is Crazeal, a fully owned subsidiary of the global Groupon group. Crazeal offers deals to its customers over a wide range of products and services such as home décor, gadgets, travel, food & beverage and wellness to name a few.

Do such sites encourage deal-chasing and customer disloyalty? “Initially, sites that only took a token fee from the customer and asked them to pay the balance to the merchant were problematic. However, most such sites have died or changed their model, as having such practices is not sustainable. When executed properly, deal sites create excitement and buzz for a brand and if payment is done upfront results in guaranteed business for the merchant”, says Ankur Warikoo, CEO of Crazeal.com (Groupon India), a business that has created a model where cash-on-delivery accounts for less than 15% of their sales, rejection rates are only 4% as compared to an industry average of 15 – 20% and customers are given a promise of 100% satisfaction with the deal or their money returned.



The vertical marketplace

E-commerce is an endless aisle, in which consumers can shop products from all over the world. However, the appeal of specialist shops is just as strong online as it is offline and there are specialty sites in just about every category. While the concept remains similar to the online mall, these websites operate